

Cacao Beverage Opportunity

China Market & TCM Product Strategy + P&L

Presented to:

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Part 1: Market Opportunity

"Nobody in China is making cacao drinks yet." — Confirmed independently by Dr. Ye (TCM) and Liz's cousin (market insider).

China health tea market: **¥64.27 billion (2025)**, growing 25.3% YoY, projected >¥100 billion by 2028. Cacao husk tea as a category is **completely empty** in mainland China.

Part 2: Competitive Landscape

Direct Competitors (Cacao Husk Tea)

Brand	Price	Channel
Dedicated Chocolate (HK)	~HKD 68	Website, HK only
Rayca's Dancing Tea (HK)	HKD 12-168	Website, HK only
Hara Teas (Overseas)	~USD 10-15	Website only
Cacao Tea Co. (USA)	~USD 12-18	Website, cross-border
Conspiracy Chocolate	~USD 10	Website only

Key finding: None available on Taobao/Tmall/JD. All overseas/HK. Blue ocean.

Indirect Competitors (Health Tea Bags)

Brand	Price	Positioning
同仁堂 (Tongrentang)	¥30-80	Heritage TCM leader
忆江南 (Yijiangnan)	¥20-50	Mass-market health tea
草木方 (Caomufang)	¥25-60	New-style health tea
茶里 (CHALI)	¥30-80	New-style bagged tea
立顿 (Lipton)	¥20-40	International brand

Differentiation Matrix

Dimension	Existing Health Teas	Cacao Husk Tea
Market	Red ocean (established brands)	Blue ocean — no domestic player

TCM integration	Mature system	Blank — can define "warming, heart-nourishing"
Antioxidants	Moderate	Higher than green tea
Caffeine	Varies	Very low (theobromine only)
Sustainability	Standard	Circular economy + \$5/tree carbon credit

Part 3: Product & Science

Cacao Shell Tea vs Green Tea

Metric	Cacao Tea	Green Tea
Antioxidants	Higher	Lower
Theobromine	High	Negligible
Caffeine	Low	Medium
Heart health	Stronger	Protective
Sugar/Fat	Zero	Zero

TCM Classification

Property	Value
Nature (性)	Warming (温)
Taste (味)	Bitter, Pungent (苦、微辛)
Meridians (归经)	Heart, Liver, Kidney (心、肝、肾)
Actions	Tonify Heart, Warm Kidney Yang, Move Blood, Calm Shen

Part 4: Operating P&L Model

4.1 Product Specification — 小罐茶 (Xiaoguancha) Style

Item	Spec
Serving size	4g per can
Box size	10 cans = 40g per box
Units per kg	250 boxes
Retail price	\$50/box (Liz)

4.2 Cost of Goods Sold (Per Box — 40g)

Raw Material: AGL8 — La Dio Sitio Farm (Paulo, Pará)

Component	Per kg	Per Box
Cacao husk (byproduct from nib/choc production)	\$4.50	\$0.18
Processing (clean, roast, grind)	\$3.00	\$0.12
Ex-factory Brazil	\$7.50	\$0.30

Packaging (小罐茶 style — Shenzhen)

Item	Per Box
Aluminum can ×10	\$1.50
Outer box	\$0.30
Tea filter bag ×10	\$0.50
Packaging subtotal	\$2.30

⚠ **NEED: Packging pricing from Ling**

Freight (Brazil Ilhéus → Shenzhen)

Method	Rate/kg	Per Box
Air freight (consolidated, 100+ kg)	\$4-5/kg	\$0.18
DHL Express (samples only)	\$15-20/kg	\$0.70
Sea freight (container, 1000+ kg)	\$1-2/kg	\$0.06

Use Seacos/Omega forwarders (existing partners). DHL is 3-4x — samples only.

Total COGS per Box

Component	Cost	% of \$50
Cacao tea + processing	\$0.30	0.6%
Packaging	\$2.30	4.6%
Freight (air consolidated)	\$0.18	0.4%
Customs/duties (~5-15%)	\$0.14	0.3%
Total COGS	\$2.92	5.8%
Gross Profit	\$47.08	94.2%

4.3 Carbon Credit Reserve

Metric	Per Box
Carbon reserve (每售出一盒)	\$5.00
Cacao trees planted	1 tree
Carbon credits generated	4 tons CO₂

Net revenue after carbon reserve: **\$45.00/box**. Profit adjusted accordingly.

4.4 Revised P&L — Net After Carbon Reserve

Component	Per Box
Retail price	\$50.00
– Carbon reserve (→ reforestation)	–\$5.00
Net revenue	\$45.00
– COGS	–\$2.92
Gross profit (after carbon)	\$42.08

4.5 Operating Expenses (Monthly)

Category	Monthly	Annual
Team — Jerrie (operations)	\$1,000	\$12,000
Team — Ling (packaging/logistics)	\$1,000	\$12,000
Liz — Sales & marketing (KOL wining/dining)	\$2,000	\$24,000
Marketing content production	\$1,000	\$12,000
Events & KOL activations	\$1,500	\$18,000
Warehousing (Shenzhen)	\$500	\$6,000
Legal & compliance (China)	\$500	\$6,000
Miscellaneous	\$500	\$6,000
Total Monthly OPEX	\$8,000	\$96,000
+ One-time setup		\$10,000
Total Year 1 OpEx		\$106,000

4.6 Minimum Viable Scale — Units Required

To cover monthly operating expenses of \$8,000, you need to sell **191 boxes per month** at \$45 net revenue per box. That's just **~7.6 kg of cacao tea** per month.

Timeframe	Boxes Needed	Net Revenue	COGS	Net Profit	Cacao Tea
Per month	191 boxes	\$8,595	\$558	\$37	~7.6 kg
Per quarter	573 boxes	\$25,785	\$1,674	\$111	~23 kg
Per year (break-even)	2,520 boxes	\$113,400	\$7,358	\$0 (B/E)	~101 kg

At 191 boxes/month, you sustain operations with zero loss. This is the floor — every box beyond that is pure profit.

4.7 Monthly Revenue Scenarios

Scenario	Boxes	Net Revenue	COGS	OpEx	Net Profit	Trees	Carbon (t)
Min Viable Scale	191	\$8,595	\$558	\$8,000	\$37	191	764
Conservative	500	\$22,500	\$1,460	\$8,000	\$13,040	500	2,000
Moderate	1,000	\$45,000	\$2,920	\$8,000	\$34,080	1,000	4,000
Growth	2,500	\$112,500	\$7,300	\$10,000	\$95,200	2,500	10,000
Scale	5,000	\$225,000	\$14,600	\$15,000	\$195,400	5,000	20,000

At Conservative scale (500 boxes/mo): Net profit \$13,040/month — the team is paid, carbon is funded, and there's meaningful surplus for growth.

Annual Carbon Impact at Scale

Scale	Boxes/ Yr	Revenue After Carbon	Trees/ Yr	Carbon Credits (tons)	Reforestation Fund
Growth	30,000	\$1,350,000	30,000	120,000	\$150,000
Scale	60,000	\$2,700,000	60,000	240,000	\$300,000

Part 5: Product Line & Pricing

Tier	Product	Price
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1	Pure cacao shell tea (40g box)	\$50
2	4 TCM functional blends (40g)	\$55-60
3	Seasonal limited editions	\$65-80
4	Regional editions (因地制宜)	\$55-70
5	Chocolate bar + recipe kit	\$15-25

Part 6: Funding Requirements

Use	Amount
Initial inventory (50 kg cacao tea)	\$375
Packaging (5,000 units — aluminum cans + boxes)	\$11,500
Freight (50 kg air, Brazil→China)	\$250
Branding & packaging design	\$3,000
China food import compliance	\$3,000
Operating reserve (6 months)	\$48,000
Marketing launch (KOLs, events, content)	\$10,000
Contingency (15%)	\$11,416
Total	~\$87,541

✓ Close to Liz's **\$100,000** minimum OpEx estimate

Part 7: Open Items

Item	Owner	Status
Packaging pricing (aluminum cans, boxes, labels for 小罐茶)	Ling	⚠ NEED
Packaging details (materials, dimensions, artwork)	Ling	⚠ NEED
Events budget per year for China product push	Liz	⚠ NEED
KOL partnership budget and target list	Liz	⚠ NEED
China food import regulations (cacao husk tea)	Legal	⚠ NEED
Dr. Ye's Douyin side account launch timing	Dr. Ye	⚠ PENDING

Key insight: 94% gross margin. Only **191 boxes per month** (~7.6 kg cacao tea) needed to sustain operations. Every box after that funds reforestation and profit.